Exercise

QF5P6

I. Choose the Correct Answer

1. **A continuing relationship which provides a licence privileges to do business and provides training, merchandising for a consideration is called _____**

   a) Franchising

   b) Factoring

   c) Supply Chain Management

   d) Exchange

2. **Buying and selling of goods through electronic network is known as _____**

   a) E-commerce

   b) internet

   c) Website

   d) Trade

3. **An organization carrying out activities to move goods from producer to consumer is**

   (a) Transport

   (b) Logistics

   (c) Channels

   (d) Marketing

4. **The main benefit of Logistics is**

   (a)Productivity

   (b) Cost Minimisation

   (c)Profitability

   (d) Storage

5. **The main benefit of outsourcing is**

   (a) Productivity

   (b) Cost reduction

   (c) Skill

   (d) Units

Answers

1. a 2. c 3. a
4. b 5. b

II. Very Short Answer Questions

1. Who is a Franchisee?
2. State two disadvantages of Franchising.
3. What is meant by BPO?
4. What is meant by Logistics?

III. Short Answer Questions

1. What are the types of Franchising?
2. List the steps in factoring process. (any 3)
3. What is the impact of e-commerce on buyers? (any 3)

Commerce 16-25.indd 166 10/12/2022 16:33:10